

UK's Burnham risks voter backlash with care plan

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【メール原文】

UK Prime Minister Andy Burnham's social care plan risks voter backlash and tensions with Chancellor John Healey as near-term tax hikes loom. French bo||||||||||||||

Daily Brief

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UK's Burnham risks voter backlash with care plan

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summary

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UK Prime Minister Andy Burnham's social care plan risks voter backlash and tensions with Chancellor John Healey as near-term tax hikes loom.

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French bond yields are rising further above Italy's amid growing fiscal and political uncertainty ahead of France's election in April.

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US Senate negotiators have a tentative energy permitting deal with improved odds of passing the lame-duck period.

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Colombia faces tough fiscal choices as IMF engagement deepens, with new revenue measures likely needed to meet fiscal targets.

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Countries and sectors in this edition of the Daily Brief include the US, Colombia, Ecuador, the EU, France, Germany, the UK, energy, geoeconomics, healthcare, and trade.

the top line

UK—Burnham's care funding gamble risks voter backlash

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Prime Minister Andy Burnham's plan to abolish the so-called triple lock on annual state pension increases to help fund £18 billion annually in expanded social care will have little fiscal impact before 2030, requiring near-term tax increases and risking discontent among older voters in particular.

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Burnham's determination to push ahead with big-ticket policies despite the UK's bleak economic outlook is creating tension with Chancellor John Healey, which is likely to deepen as Healey looks to assert fiscal discipline in the upcoming 28 October budget announcement.

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The odds of a 2027 general election remain at 35% despite Burnham's claims that he will wait until 2029, with EU relations and proportional voting likely to be central campaign issues when the time comes.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Geoeconomics, France—Chart of the day

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French bond yields are rising further above Italy's on fiscal and election concerns. France's presidential election carries a significant probability of a far-right victory that would increase risk premia across the Eurozone (see note , 5 August).

US, Energy—Permitting deal faces better odds in lame duck session

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Senate negotiators say they have reached agreement on a long-stalled permitting deal, improving its odds for a vote in the post-election lame duck session, if final bill text is released this week to effectively lock each side into position.

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The key question is whether Democrats accept concessions the White House has offered on solar and wind permit approvals to advance the deal. Democrats are demanding clarity on how the offer to speed projects stalled under President Donald Trump's administration could be confirmed in final legislation before signing off.

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Any deal would be constructive for energy and critical-minerals projects in the US, with major components including expedited approval for certain transmission lines and a 150-day statute of limitations on suits under the National Environmental Policy Act, though White House threats to revoke concessions after the midterms are a word of caution.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Colombia—Tough fiscal choices ahead as IMF engagement deepens

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The Finance Ministry has requested an IMF Article IV consultation—a periodic economic review—with fiscal adjustment measures still pending in a likely prolonged process. The consultation could open the door to arrangements that bolster confidence, secure better financing terms, and improve multilateral lending access.

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IMF Deputy Managing Director Nigel Clarke, following a visit to Colombia, welcomed authorities' commitment to restoring fiscal discipline, noting that reducing fiscal imbalances can strengthen confidence, lower borrowing costs, and improve conditions for investment and job creation. He affirmed the IMF's readiness to support Colombia's reform plans while stressing the need to protect social spending.

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Tough decisions remain. Revised forecasts point to a fiscal deficit of 9.4% of GDP and a primary deficit of 4.5% of GDP in 2027. The administration's plan to reduce the primary deficit through a forthcoming fiscal adjustment bill appears too optimistic without revenue measures.

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Ecuador—Fiscal restraint likely to erode as November elections approach

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The departure of finance minister Sariha Moya will likely diminish the guardrails on President Daniel Noboa's spending decisions ahead of the 29 November regional and local elections, in which he is hoping to capture the most populous cities and provinces, along with the largest number of total races won nationwide.

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The ruling National Democratic Action party will likely fare well in terms of overall numbers, but polls suggest that candidates backed by former president Rafael Correa will be competitive in key races, likely leading Noboa to draw down some of the country's existing fiscal buffers ahead of the vote.

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Noboa's populist impulses will hinge in part on the severity of El Niño and electricity shortages, which are already prompting preemptive rationing, though any resulting blackouts are likely to be less acute than in 2024.

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Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

7 October 10:00 AM EST—Mexico update. Register here .

eg in depth

US, Germany—Section 301 probe of German pharma is likely leverage for pricing negotiations: The US Trade Representative (USTR) held a hearing as part of its Section 301 investigation into Germany's pricing of innovative pharmaceuticals. A negotiated pricing deal, not new tariffs, is the clearest near-term objective. Industry witnesses including PhRMA and AbbVie urged USTR to use the probe to secure higher spending on innovative medicines and changes to rebates and benefit assessments, citing the US-UK pharmaceutical pricing agreement as precedent (see note , 19 June). The evidentiary gap limits the case for immediate US action. Section 301 tariffs require quantifiable harm to US companies, and USTR repeatedly asked witnesses to quantify how German policies affect US drug prices, R&D, and market access. The tariff threat is best read as leverage, with USTR having until June to decide what action, if any, to take—preserving an escalation option for tariffs if pricing talks fail or the relationship between Trump and German Chancellor Friedrich Merz worsens. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Upcoming events:

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30 September: Data: Russia unemployment, US consumer income, PCE price index, GDP, and ADP employment change; Central bank decision: Colombia.

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1 October: Events: Hong Kong and China markets close through 7 October; Data: Indonesia, South Korea manufacturing PMI, Eurozone unemployment, US construction spending, and ISM manufacturing.

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2 October: Data: Brazil industrial production, Eurozone CPI, Japan unemployment, Russia GDP, US unemployment, nonfarm payrolls, and factory orders.

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4 October: Events: Brazil first round presidential election.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“There are clearly options that need to be considered, and we have to look at what is doable and what would be the pros and cons of each.”—Burnham told BBC Radio 4 on Wednesday about the possibility of the UK rejoining the EU.

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